As the ‘headline inflation’ rate of India is presently (**April 15, 2013**) at a ***three-year low*** of 5.96 per cent (in Dec. 2009, it was at 4.95 per cent) the business and industry in the country is hopeful of cuts in the CRR as well as the Repo rate by the RBI when the Central bank announces its ***Annual Policy Statement,*** end-May, 2013. Experts together with the major bankers of the country also believe this action imminent from the RBI as the slackening growth rate of the economy needs some ‘boosting’ from the interest rate side.

NATIONALISATION AND DEVELOPMENT OF BANKING

The development of banking industry in India has been intertwined with the story of its nationalisation. Once the Reserve Bank of India (RBI) was nationalised in 1949 and a central banking was in place the government considered the nationalising of selected private banks in the country due to the following ***major*** reasons:

(i) As the banks were owned and managed by the private sector the services of the banking were having a narrow reach—the masses had no access to the banking service;

(ii) The Government needed to direct the resources in such a way that greater public benefit could take place;

(iii) The planned development of the economy required a certain degree of government control on the capital generated by the economy. Nationalisation of banks in India took place in the following two stages:

1. Emergence of the SBI

The Government of India, with the enactment of the *SBI Act, 1955* ***partially nationalised*** the three Imperial Banks (mainly operating in the three Presidencies of past with their 466 branches) and named them the State Bank of India—the first public sector bank emerged in India. The RBI had purchased 92 per cent of the shares in this partial nationalisation.